In the process of realising the above-mentioned three objectives, an economy cannot go for either allowing only state's role in the economy or only the market's role in the economy. These challenges could only be faced properly once the state and the market both are given a balanced role in an economy—the balance to be defined by its present conditions and the direction of the future desire of the economy. Striking the right balance between the roles of the state and market in the economies came to be known as the process of economic reforms in the post-WTO world.

If we analyse the need of an economy, we see some compulsory roles for the state in it:

(i) If the regulation and control of an economy is left to the private individual or group (i.e. firms) they will be using the regulatory powers to maximise their profits and returns at the cost of others. That is why this role must rest with the state. It looks more logical in the democratic political set-ups, wherein the interest of the largest numbers is being represented in the regulatory provisions.

(ii) The responsibility of producing and distributing private goods to the people could be well handled by the private sector as this is a profit-fetching area. The state should not burden itself with this responsibility as this could be well taken up by the private sector. But in the absence of the proper presence of the private sector in an economy, many countries in the world gave this responsibility also to the state, India being one among them. But as the private sector became capable, in some countries this responsibility was given up by the state in favour of the private sector and better development has been possible in those economies. In this sense India delayed this process while in Indonesia, Malaysia, Thailand and S. Korea the state did give up this responsibility allowing the entry of the private sector.

(iii) The responsibility of producing and supplying the social/public goods to the needy people cannot be left to the private sector as this is a loss-making role. It means, the state will have to take the sole responsibility or may need to expand its role in such areas—as we see in the post-reforms India.